



Micromax Modu T

Micromax launched the world's lightest 2.2-inch touchscreen phone in collaboration with Modu T, an Israel based company

12 Indian languages

Lava Mobiles' KKT-15 comes pre loaded with 12 Indian languages in a move to attract more local users

The Legend Killers

A look at some emerging brands, across product categories, that have the potential to be future Icons of Trust

Nimish Sawant

nimish.sawant@thinkdigit.com

Icons of Trust, our annual survey tries to award brands that provide excellent products and great service. This article is an attempt to spot brands which have the potential to become an Icon of Trust in the coming years. We have recognised five product categories where we feel some brands can provide a challenge to the existing "big" brands. So without further ado, let's start with the product category whose leader is definitely facing some heat.

CELL PHONES

Back in the day (which was barely five years ago) Nokia had a near monopoly in the cell phone market – around 80 per cent market share according to some reports – with hardly any challenges. The scene is completely different now, with Nokia being threatened on all fronts by challenger brands. They're not just nipping away at Nokia's feet, but actually taking a sizable bite. Apple, BlackBerry and various others have created a serious dent in Nokia's market share in the smartphone category. Currently, even though Nokia still has a larger market share than any other handset manufacturer in India, its growth is not as aggressive as it used to be.

Thanks to new dual-SIM entry-level phone brands such as Micromax, Karbonn, Lava etc., coming in to India, competition is fiercer than ever before. Consider this: Micromax, despite starting out a mere two years ago, already has a whopping 10 per cent market share! Although Nokia still has a commanding lead with 54 per cent market share, this is still a lot less than it's heyday.



Micromax sells over a million phones every month

Micromax started as a rural player, coming out with affordable phones that had really innovative features, such as a 30-day standby battery. This was important because electricity is scarce in rural areas. The Xli, which was Micromax's first offering was a thundering success.

Micromax gradually built its base in the rural segment with phones having most of the features found in high-end phones (obviously not of the same quality), and entered the Tier I markets over

the past year. With most of its phones priced under ₹5,000, you may think Micromax is just looking at volumes by pushing cheap phones – not the best of practices. Although this may be true to some extent, you can't deny the fact that a brand that sells over ten lakh phones a month is hardly a minnow. In fact, Micromax can hardly be accused of sitting on its

laurels – it's aggressively targeting the next higher segment with innovative features and unbelievable prices.

The Q7, for instance, is a Wi-Fi-enabled, QWERTY, dual-SIM phone, priced under ₹5,000. Of late, the company has released touchscreen phones that are well designed and aesthetic – the Micromax Pike for example. Other innovations include a 3D user interface in Qube, a phone that lets you use it as a remote control for other gadgets, and they're also reported to be launching an Android phone very soon.

Micromax was also one of the first players to successfully tap into the dual-SIM market, when none of the established brands like Nokia or Samsung had any offerings in that space. The company exploited that option leading the way for many other brands, which eventually caused the current flood of dual-SIM phones. Even Nokia and Samsung had to follow, and now offer dual-SIM handsets priced under ₹5,000.

Although most Micromax phones are still manufactured in South East Asia (Taiwan and China), it has also started a manufacturing unit in Baddi, Himachal Pradesh. It already has operations in Sri Lanka, Nepal and Bangladesh and has recently launched in Dubai as well.

All of this tells us that Micromax is a brand to watch out for in the near future. Although many other new brands have also made a splash in the Indian market, none have had as great an impact as Micromax.

In terms of brand building, Micromax has also spent big bucks on advertising – it's reported to have an advertising budget of ₹100 crore,

Must Read

<http://bit.ly/bvB5WN>

An article profiling the rise of Micromax and some of its future plans

<http://bit.ly/ckYzCs>

What are the ingredients that have worked in the favour of Indian dual-SIM handset manufacturers?